D. Effects on Efficiency, Competition, and Capital Formation

The new rules and amendments would likely affect competition, capital formation, and efficiency in various ways discussed below.

1. Competition

As discussed earlier, currently, the SBS market is dominated by a small group of SBS dealers.[977] A mandatory clearing determination by the Commission, followed by a MAT determination by one or more SBSEFs, should help foster greater competition in the trading of SBS by promoting greater order interaction and increasing participation on SBSEFs. The final rules provide a framework for allowing a number of trading venues to register as SBSEFs and thus more effectively compete for business in SBS. Furthermore, Rule 827 is designed to promote competition generally by prohibiting an SBSEF from adopting any rules or taking any actions that unreasonably restrain trade or impose any material anticompetitive burden on trading or clearing. Additionally, rules that improve access to SBSEFs by market participants (e.g., Rule 819(c)) could increase participation and competition in liquidity provision in the SBS market.[978] Rules that improve regulatory oversight, market integrity, and market predictability on SBSEFs and rules that reduce the risk of trading disruption on SBSEFs likely would increase market participants' confidence in the soundness of SBSEFs.[979] To the extent that greater confidence in the soundness of SBSEFs increases participation by liquidity providers on SBSEFs, competition in liquidity provision could increase. To the extent that increased competition in liquidity

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977 *See supra* section XVII.B.2.

978 *See supra* sections XVII.C.1 (discussing improved access and competition as an overarching benefit of the rules and amendments) and XVII.C.2 (discussing how rules that mitigate conflicts of interest between an SBSEF or SBS exchange and its members could help ensure access to SBSEFs and SBS exchanges and in turn increase competition in liquidity provision and lower transaction costs).

979 *See infra* section XVII.D.2.

provision reduces the price of liquidity provision (e.g., bid-ask spread), market participants could benefit in terms of lower transaction costs.

Rules 815(f) and 815(g), by reducing the risk of information leakage and protecting market participants' anonymity for an SBS that is anonymously executed on an SBSEF and intended to be cleared, could increase participation on SBSEFs. This in turn could increase competition in liquidity provision, liquidity, and efficiency in the SBS market.[980]

Rule 806(a)(5), which requires an SBSEF to explain the anticipated benefits and potential anticompetitive effects on market participants of a proposed new rule or rule amendment, potentially could help foster a competitive SBS market because it could prompt SBSEFs to consider the positive as well as negative aspects of their proposed rules or rule amendments with respect to competition.[981]

As discussed earlier, Rules 819(c) and 819(e) would promote competition among entities that act as third-party service providers to SBSEFs. To the extent that increased competition among third-party service providers incentivizes them to offer cheaper, higher quality services to SBSEFs thereby lowering their costs, market participants that are SBSEF members could benefit if the SBSEFs pass on the cost savings in the form of lower fees to their members.[982] Lower fees for SBSEF members would help reduce the overall costs of trading on SBSEFs and increase the efficiency of SBS trading.

2. Capital Formation

Regulation SE could promote capital formation by helping to improve regulatory oversight, market integrity, and market predictability. Regulation SE requires, among other

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980 *See supra* section XVII.C.1 (discussing improved access and competition as an overarching benefit).

981 *See supra* section XVII.C.2 (discussing benefits associated with rule and product filings).

982 *See supra* section XVII.C.1 (discussing improved access and competition as an overarching benefit).

things, that SBSEFs maintain an audit trail and automated trade surveillance system; conduct real-time market monitoring; establish and enforce rules for information collection; and comply with reporting and recordkeeping requirements. These requirements are designed to provide an SBSEF with sufficient information to oversee trading on its market, including detecting and deterring abusive trading practices.[983] The audit trail and recordkeeping and reporting requirements, by providing the Commission access to information about SBSEFs, will increase the Commission's ability to assess risks in the SBS market and to oversee the market, which all else being equal should reduce the amount of risky or abusive behavior in the SBS market.[984] Further, Rule 831, the requirements relating to the CCO, would promote regulatory compliance on SBSEFs and the SBS market generally.[985] In addition, Regulation SE provides for various safeguards to help promote market integrity, including Rule 819(c) relating to impartial access to the SBSEF[986] and Rule 830 relating to systems safeguards. Rule 812(a) would help to improve predictability in the market by providing that a transaction entered into on or pursuant to the rules of an SBSEF shall not be void, voidable, subject to rescission, otherwise invalidated, or rendered unenforceable as a result of a violation by the SBSEF of the provisions of section 3D of the SEA or the Commission's rules thereunder. Any resulting increase in regulatory oversight, market integrity, and market predictability likely would increase market participants' confidence in the soundness of SBSEFs, which in turn could spill over into increased confidence in the soundness of the SBS market more broadly. Such increased confidence could lead to the greater

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983 *See* Rules 819, 821, 822, 826 and *supra* section XVII.C.1 (discussing improved oversight of trading by SBSEFs as an overarching benefit of the rules and amendments).

984 *See supra* section XVII.C.1 (discussing improved Commission oversight as an overarching benefit of the rules and amendments).

985 *See supra* section XVII.C.2 (discussing the benefits associated with Rule 831).

986 *See supra* note 978.

use of SBS, particularly those traded on SBSEFs, by corporate entities to hedge their business risks and investors to hedge their portfolio risks with respect to positions in underlying securities. To the extent that corporate entities can improve their hedging efficiency with SBS, they may divert resources from precautionary savings into productive assets, thereby promoting capital formation. To the extent that investors can improve their hedging efficiency with SBS, they may be more willing to invest in the underlying securities, which should facilitate capital raising and formation by issuers. Therefore, the adopted rules would help encourage capital formation.

Also, by reducing the risk of trading disruptions on SBSEFs, Rules 829 and 830 could increase market participants' confidence in the soundness of SBSEFs, which in turn could lead to the greater use of SBS traded on SBSEFs thereby promoting capital formation as discussed above.

3. Efficiency

The general approach of harmonizing as closely as practicable with analogous CFTC rules for SEFs, unless a reason exists to do otherwise in a particular area, likely will generate cost efficiencies and reduced burdens for SBSEF registrants that likely would be registered SEFs that have established systems and policies and procedures to comply with CFTC rules.[987] Further, increased competition among third-party service providers, as a result of Rules 819(c) and 819(e), could lower SBSEFs' costs and bring about greater efficiency in their operation and SBS trading.[988]

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[987] For example, the Commission's election to model Rules 804 through 810 closely on analogous rules in part 40 of the CFTC's rules that apply to SEFs (and other registered entities) would impose minimal burdens on dually registered SEF/SBSEFs while obtaining similar regulatory benefits as the CFTC rules. In some cases, where a new rule or rule amendment affects both the swap and SBS business of a dually registered entity, the same or a very similar filing could be made to each of the CFTC and SEC, in lieu of having to make different filings to support the same rule change. *See supra* section XVII.C.2 (discussing the benefits associated with rule and product filings).

[988] *See supra* section XVII.D.1.

The automation and systems development associated with the regulation of SBSEFs could provide SBS market participants with new platforms and tools to execute and process transactions in SBS more rapidly and at a lower expense per transaction. Such increased efficiency could enable members of the SBSEF to handle increased volumes of SBS with greater efficiency and timeliness.[989]

The requirements with respect to pre-trade price transparency could lead to more efficient pricing in the SBS market. The rules are designed to increase pre-trade price transparency for SBS, which should aid market participants in evaluating current market prices for SBS, thereby furthering more efficient price discovery. Increased pre-trade price transparency, coupled with increased competition in liquidity provision as discussed above,[990] could decrease the spread in quoted prices and lead to higher efficiency in the trading of SBS.

The Commission recognizes the possibility that pre-trade price transparency could cause market participants to reveal more information about trading interest than they believe would be economically desirable. If market participants consider that pre-trade price transparency requirements are too burdensome and choose not to participate in the market, market efficiency could be reduced insofar as these market participants forgo any potential economic benefits that may have resulted from transacting in the SBS market. However, several factors mitigate such concerns. First, pursuant to Rule 815(c)(2), an SBSEF may offer any execution method for Permitted Transactions. Thus, a market participant engaging in a Permitted Transaction may choose to use an execution method that reveals the desired, or at least preferred, amount of information about trading interest. Second, pursuant to Rule 815(a)(2), an SBSEF will be

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989 *See supra* section XVII.C.1 (discussing improved automation as an overarching benefit of the rules and amendments).

990 *See supra* section XVII.D.1.

required to offer two execution methods for Required Transactions (limit order book and RFQ-to-3). Thus, market participants have flexibility in the degree of pre-trade transparency they wish to employ, which should attenuate potential concerns associated with revealing too much information about trading interest.[991] Rules 829 and 830 may reduce the risk of trading disruptions on SBSEFs that may otherwise prevent market participants from impounding information into SBS prices through market activity (e.g., order submission), and thus could improve the price efficiency in the SBS market.

E. Reasonable Alternatives

The Commission considered a number of alternatives when finalizing the rules and amendments in this release.

1. Abbreviated Registration Procedures for CFTC-Registered SEFs

Several commenters suggest that the Commission provide abbreviated registration procedures for CFTC-registered SEFs either by using the Commission's exemptive authority to provide a streamlined registration process for such applicants[992] or by permitting such applicants to register utilizing their current documentation filed pursuant to the requirements of Form SEF with an accompanying addendum reflecting only those changes necessary to fulfill the specific requirements of proposed Regulation SE, in lieu of filing a new Form SBSEF.[993] Some of these commenters believe that a streamlined registration process would ease the burden of new requirements imposed on potential dual-registrants, be more efficient, lower registration costs, encourage the entry of market participants, and expedite the establishment and operation of

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991 *See supra* section XVII.C.1 (discussing the different degrees of pre-trade transparency associated with limit order book and RFQ-to-3).

992 *See* SIFMA AMG Letter, *supra* note 18, at 5; Bloomberg Letter, *supra* note 18, at 11; WMBAA Letter, *supra* note 18, at 3; ICE Letter, *supra* note 18, at 5.

993 *See* ICE Letter, *supra* note 18, at 5.

SBSEFs.[994] The Commission acknowledges that the alternative could potentially have such beneficial effects. However, the adopted approach is preferable to the alternative. As a general matter, the SBSEF registration process is intended for all applicants. While entities that will seek to register as SBSEFs are likely to be CFTC-registered SEFs,[995] the registration process should nevertheless address the possibility that some applicants might not be CFTC-registered SEFs. Requiring all applicants to follow the same registration process will provide a level playing field for all applicants by avoiding conferring a competitive advantage on applicants that are CFTC-registered SEFs. This in turn may encourage the entry of additional market participants. As discussed in section III.A.2., the adopted approach supports consistency in the review by the Commission and its staff of applications for registration of SBSEFs and avoids introducing bias or prejudice into the Commission's review. Such consistency could in turn increase the efficiency of the review process and help expedite the establishment and operation of SBSEFs.

2. Shorten Review Period for Self-Certified Product Listing

In connection with the ten-business-day review period under Proposed Rule 804(a)(2), two commenters recommend a shorter review period of one business day to harmonize with the CFTC's approach.[996] Alternatively, one of the commenters suggests a two-business-day review period.[997] According to these commenters, a shorter review period will allow market operators to meet participants' demands to transact on regulated platforms in a reasonable period of time; accommodate participants' needs to hedge risk in a timely manner; and increase the competitive benefit and innovation incentive to SBSEFs to develop new products by making it less attractive

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994 *See* SIFMA AMG Letter, *supra* note 18, at 5; Bloomberg Letter, *supra* note 18, at 11; WMBAA Letter, *supra* note 18, at 3.

995 *See supra* section XVII.B.4.

996 *See* WMBAA Letter, *supra* note 18, at 4; ICE Letter, *supra* note 18, at 2.

997 *See* WMBAA Letter, *supra* note 18, at 4.

for other SBSEFs to list "look alike" products. In finalizing Rule 804(a)(2), the Commission has considered the trade-off between the benefits of a shorter review period as described by the commenters and the benefits of having sufficient time to review a new product filing and to issue a stay if warranted. The ten-business-day review period set forth in final Rule 804(a)(2) strikes an appropriate balance between these sets of benefits. To the extent that the ten-business-day review period limits market operators' ability to meet participants' demands to transact on regulated platforms in a reasonable period of time, that limitation is appropriate in light of the benefits of having sufficient time to review a new product filing and to issue a stay if warranted. While a shorter review period may accommodate market participants' need to hedge risk in a timely manner, these market participants also could hedge their risk during the ten-business-day review period, albeit in the OTC SBS market. The Commission does not believe the additional hedging benefit, if any, associated with a shorter review period is sufficient to justify adopting this alternative. Rule 804 may not necessarily limit the competitive benefit and innovation incentive to SBSEFs to develop new products. SBSEFs that wish to list "look alike" products also will face a ten-business-day review period if they list such products pursuant to Rule 804.[998] Thus, such SBSEFs will lag behind the SBSEF that first lists a given SBS, which could capture a significant portion, if not most, of the revenues associated with the trading of that product. Even if the 10-day review period were to reduce the first-to-market competitive advantage of an SBSEF that first lists a given SBS, the extent of such an advantage may vary considerably based on other factors in the SBSEF market. Ultimately, the need for the Commission to have sufficient time to review a new product before it is listed and thereby help ensure it meets

[998] In this context, SBSEFs that wish to list products expeditiously likely will not choose to list them pursuant to Rule 805, which requires a 45-day review period that could be extended for an additional 45 days. *See* Rules 805(c) and (d).

regulatory requirements aimed to protect investors and support fair and efficient markets justifies this potential competitive effect. Accordingly, the adopted approach is preferable to the alternative.

3. Incorporate CFTC's Impartial Access Requirement Guidance

Several commenters urge the Commission to incorporate the CFTC's impartial access requirement guidance with respect to access to SBSEFs into the text of Rule 819. According to these commenters, such an alternative would provide market participants with guidance and clarity regarding how Proposed Rule 819(c) will be interpreted and applied in practice. The commenters believe that the alternative would increase competition, transparency, and liquidity in the SBS markets; lower transaction costs through increased competition; and result in greater market-led innovation in the SBS markets.[999] The Commission acknowledges that the alternative could have beneficial effects on competition, transaction costs, transparency, liquidity, and innovation as the commenters asserts. However, the alternative raises several concerns. First, if, in the future, the CFTC's impartial access requirement guidance were to be modified, the regulatory regime for SEFs might differ from that for SBSEFs. This in turn could limit harmonization with the CFTC's regulatory regime and potentially increase compliance burdens for market participants if they have to comply with different requirements for SEFs and SBSEFs.

Second, as discussed in section VI.B.3 above, efforts to undermine the principle of impartial access may take myriad forms over time. It is preferable to emphasize the principle of impartial access in the rule text as an affirmative requirement with which to comply. The adopted approach would incentivize SBSEFs to constantly review their practices to ensure compliance

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[999] *See* Bloomberg Letter, *supra* note 18, at 3, 16; Citadel Letter, *supra* note 18, at 6–7; MFA Letter, *supra* note 18, at 2, 9–11; SIFMA AMG Letter, *supra* note 18, at 4.

with the principle of impartial access. The Commission also considered the alternative of incorporating into the text of Rule 819 a non-exclusive list of the means that may violate the principle of impartial access. This alternative would raise the same concerns discussed above.

The adopted approach may nevertheless generate the beneficial effects suggested by the commenters. Rule 819(c) is broad enough to permit market participants to use the same practices that they are using pursuant to the CFTC guidance. Consistent with the Commission's belief that prospective SBSEF registrants are likely to be CFTC-registered SEFs that are active in the index CDS market,[1000] prospective SBSEF registrants likely will use the systems, policies, and procedures that were created to comply with the CFTC guidance to comply with Rule 819(c) in order to limit their compliance burdens. The Commission is adopting Rule 815(g), which specifies that SBSEFs shall establish and enforce rules that provide that a security-based swap that is intended to be cleared at the time of the transaction, but is not accepted for clearing at a registered clearing agency, shall be void *ab initio.* This rule would obviate the need for breakage agreements for SBS that are intended to be cleared, one of the items prohibited by the CFTC's guidance.[1001] As discussed in section XVII.C, Regulation SE may bring several benefits to the SBS market including, among other things, increased competition,[1002] transparency, and liquidity; reduced transaction costs[1003]; and market innovation in the form of new platforms and

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1000 *See supra* section XVII.B.

1001 *See* Division of Clearing and Risk, Division of Market Oversight and Division of Swap Dealer and Intermediary Oversight Guidance on Application of Certain Commission Regulations to Swap Execution Facilities, CFTC (Nov. 14, 2013), n.3, *available at* https://www.cftc.gov/sites/default/files/idc/groups/public/@newsroom/documents/file/dmostaffguidance111413.pdf.

1002 *See supra* sections XVII.C.1 (discussing improved access and competition as an overarching benefit of the rules and amendments) and XVII.D.1 (discussing how the new rules and amendments would likely affect competition).

1003 *See supra* section XVII.C.1 (discussing improved transparency, increased liquidity, and reduced transaction costs as overarching benefits of the rules and amendments).